

SPOT TRADING VS FORWARD TRADING

SPOT MARKET



TODAY

FORWARD MARKET



FUTURE DATE

VS

FINANCIAL ASSETS ARE TRADED.

TRADE EXECUTED IMMEDIATELY.

ENTIRE AMOUNT NEEDS TO BE PAID UPFRONT. THE ENTIRE TRANSACTION IS CLOSED ON THE SPOT ITSELF WITH CASH AND ACTUAL GOODS EXCHANGING HANDS.

COMMERCIAL BANKS, BROKERS, CUSTOMERS OF COMMERCIAL BANKS AND BROKERS.

THESE ARE MORE FINANCIAL CONTRACTS AND NOT ASSETS IN THEMSELVES.

EXECUTED ON A SPECIFIC FUTURE DATE.

ONLY MARGINS NEED TO BE PAID AT THE TIME OF ENTERING INTO THE CONTRACT.

HEDGERS, SPECULATORS, ARBITRAGEURS, MARGIN TRADERS. BEYOND THIS, THEY ARE COMMONLY USED TO MANAGE RISKS.